

Economics - Graduate Level Assessment 16

Instructions

- Answer all questions.

Multiple Choice

Question 1

(2 marks)

The characteristic roots of the MA process $y_t = -3u_{t-1} + u_{t-2} + u_t$ are

- A. 1 and 0.5
- B. 2 and 0.5
- C. -1 and -0.5
- D. -1 and 2
- E. 3 and -2

Question 2

(2 marks)

Give the importance of buffer stocks in the agricultural market model.

- A. Buffer stocks eliminate the need for agricultural subsidies.
- B. Buffer stocks result in price fluctuation.
- C. Buffer stocks ensure a constant decrease in the market price of crops.
- D. Buffer stocks provide unlimited income for farmers.
- E. Buffer stocks are primarily used to control the export of crops.

Question 3

(2 marks)

Which of the following could be used as a test for autocorrelation up to third order?

- A. The Dickey-Fuller test

- B. The Jarque-Bera test
- C. White's test
- D. The Augmented Dickey-Fuller test
- E. The Durbin Watson test

Question 4

(2 marks)

What is meant by the technically efficient method of production?

- A. A method that minimizes the time taken to produce a product
- B. A method that uses more of all inputs to increase output
- C. A method that produces the highest quantity of output
- D. A method that relies solely on the latest technology
- E. A method that achieves the fastest production speed regardless of resource usage

Question 5

(2 marks)

Suppose that current disposable income is 10000 and consumption spending is 8000. For every 100 increase in disposable income saving increases 10. Given this information

- A. the marginal propensity to save is .80.
- B. the marginal propensity to save is .90.
- C. the marginal propensity to save is .20.
- D. the marginal propensity to consume is .20.
- E. the marginal propensity to save is .50.

True / False

Question 1

(2 marks)

A rightward shift in the aggregate demand curve is a necessary cause of stagflation leading to increased

A rightward shift in the aggregate demand curve is a primary cause of stagnation, leading to increased inflation and output.

True

False

Question 2

(2 marks)

Inventors are solely responsible for funding inventions and bringing them to market without the help of innovators.

True

False

Question 3

(2 marks)

Disposable income is the amount of personal income that remains after taxes have been paid.

True

False

Question 4

(2 marks)

When a nation operates at the natural rate of unemployment, there is no cyclical unemployment present in the economy.

True

False

Question 5

(2 marks)

A decrease in the price of aluminum will cause the demand for bicycles to fall due to reduced production costs.

True

False

Long Form

Question 1

(10 marks)

Discuss how economic resources are allocated in a capitalist market economy and analyze the role of the central bank in influencing these decisions.

Type your answer here...

Question 2

(10 marks)

Discuss the relationship between patent issuance and monopoly formation, analyzing how patents may influence market dynamics and competition within an economy.

Type your answer here...

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